

Regret Aversion Bias Test

Question 1: Suppose that you make an investment in mutual fund ABC and that over the next 12 months ABC appreciates by 10 percent. You contemplate selling ABC for normal portfolio rebalancing purposes, but then come across an item in the *Wall Street Journal* that sparks new optimism: Could ABC climb even higher? Which answer describes your likeliest response, given ABC's recent performance and this new information?

- a. I think I'll hold off and sell later. I'd really kick myself if I sold now and ABC continued to go up.
- b. I'll probably sell. But I'll still kick myself if ABC appreciates later on.
- c. I'll probably sell the stock without any second thoughts because rebalancing is important—regardless of what happens to ABC's price after the transaction.

Question 2: Suppose that you've decided to acquire 200 shares of LMN mutual fund. You purchase 100 shares now at \$30 apiece and strategize to wait a few days before picking up the additional 100. Further suppose that soon after your initial buy, the market takes a comprehensive dip. LMN is now trading at \$28, with no change in fundamentals. Which answer most closely matches your thought process in this situation?

- a. I will probably wait until the stock begins to go back up before buying the remaining 100 shares. I really don't want to see LMN fall below \$28 because I'd regret my initial decision to buy in.
- b. I will probably buy the remaining 100 shares. If LMN ends up going below \$28, though, I will probably regret my decision.
- c. I will probably buy the remaining 100 shares. Even if LMN falls below \$28, I don't think I'll experience a lot of regret.

Question 3: Suppose you have decided to invest \$5,000 in the stock market. You have narrowed your choices down to two mutual funds: one run by Big Company, Inc, and one run by Small Company, Inc. According to your calculations, both funds have equal risk and return characteristics. Big Company is a well-followed, eminently established company, whose investors include many large pension funds. Small company has performed well but has not garnered the same kind of public profile as Big Company. It has few well-known investors. Which answer most closely matches your thought process in this situation?

- a. I will most likely invest in Big Company because I feel safe taking the same course as so many respected institutional investors. If